

AC2100 Marking Scheme

International Financial Reporting 1 · Winter 2025 · Paper 1

Examination Session and Year	Winter 2025
Module Code	AC2100
Module Title	International Financial Reporting 1
Paper Number	Paper 1
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Internal Examiners	Dr. Joanne Sopt
Duration of Paper	1.5 hours
Special Requirements	All workings must be shown clearly. The use of a non-programmable calculator is permitted.

Instructions to Candidates (as per exam paper): Section A: Question 1 is compulsory. Section B: answer one question from the two given.

Own-figure rule: where a candidate makes an error at an early stage of a multi-step numerical question, full method marks are awarded for correctly applying the required technique to their own (incorrect) figure in all subsequent steps. Marks are never cascaded away for a single early error.

Marking philosophy: this is a closed-book, time-pressured examination. Academic citations are never required. Discursive answers are marked on depth of explanation and application to the specific scenario, not generic textbook recall.

Question Overview

Question	Scenario	Topics	Marks
Q1 (compulsory)	Vitamin & Supplement (V&S) Plc	Post year-end adjusting/non-adjusting events, IAS 8, IAS 10, IAS 20, IAS 37, IAS 38, IAS 40, redraft of financial statements	60
Q2 (Section B option)	Pharmacia Ltd	IAS 16 revaluation model, IAS 40 investment property, transfers between categories	40
Q3 (Section B option)	SportsDepot Ltd	IAS 36 impairment and reversal, IAS 23 borrowing costs	40

QUESTION 1**Vitamin & Supplement (V&S) Plc**

Total: 60 marks

V&S Plc drafted its accounts for the year ended 31 December 2025 showing Total Assets of €280,500 and Total Equity & Liabilities of €280,500. Twelve pieces of new information (A)–(L), all material, are provided for consideration before the directors approve the accounts. Candidates are required to (i) explain the correct treatment of each item, including journal entries where relevant, and (ii) redraft the summarised financial statements incorporating all adjustments.

Part	Requirement	Marks
(i)	Explain treatment of items (A)–(L), with journal entries where relevant	48
(ii)	Redraft summarised financial statements in tabular format	12

Question 1(i)**48 marks**

Vitamin & Supplement (V&S) Plc drafted its accounts for the year ended 31 December 2025. Twelve items of new material information (A)–(L) were released before the directors approved the accounts. Briefly explain how each of the above events should be dealt with in V&S Plc's financial statements for the year ended 31 December 2025. Include journal entries where relevant. You may assume that all events above are material and ignore taxation.

Full Model Answer**(A) Development expenditure - €25,000**

This expenditure meets the recognition criteria for an internally generated intangible asset under IAS 38 *Intangible Assets*: the project is technically feasible, management intends to complete it, sufficient resources exist to complete it (funds are confirmed available), a market for the products is expected to be profitable, and the expenditure is separately identifiable and reliably measured. Development is not yet complete, so the asset is not yet available for use and no amortisation is charged. **No adjustment is required** — the €25,000 is correctly capitalised within Non-Current Assets as already presented.

Judgement note: Candidates who instead argue this should be expensed (e.g. citing insufficient certainty) receive own-figure credit provided the reasoning is consistent with IAS 38 criteria and applied correctly to part (ii).

(B) Research expenditure - €15,000

Under IAS 38, expenditure on the *research* phase of an internal project (as opposed to the development phase) can never be capitalised, regardless of expected future benefit, because at the research stage an entity cannot demonstrate that a resulting intangible asset exists that will generate probable future economic benefits. The €15,000 must be written off to profit or loss in full.

Journal - write off research costs

Account	Dr (€)	Cr (€)
Retained earnings (P&L expense)		15,000
Non-current assets (intangibles)		15,000

(C) Correction of cash sale error - understated by €81,000

A cash sale of €90,000 was recorded as €9,000, an error of €81,000 (€90,000 – €9,000). This is a prior period error under IAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors* discovered before the accounts are approved, so it is corrected retrospectively by restating the current year figures (the error relates to the current year, so no restatement of opening retained earnings is needed — only the current year sale and cash balance are corrected).

Journal - correct sale recorded in error

Account	Dr (€)	Cr (€)
Current assets (bank/cash)		81,000
Retained earnings (revenue)		81,000

(D) Customer bankruptcy - €10,000 written off

The customer owed €15,000 at the year end. Notification of bankruptcy was received on 9 January 2026, with the liquidator confirming no payment will be made on the remaining balance of €10,000 owing as at 22 January 2026. This provides evidence of the recoverability of the receivable that existed at the reporting date (the customer's financial difficulty was already present at 31 December 2025) and is therefore an **adjusting event** under IAS 10 *Events after the Reporting Period*. The remaining balance of €10,000 is written off as irrecoverable.

Journal - irrecoverable debt write-off

Account	Dr (€)	Cr (€)
Retained earnings (bad debt expense)		10,000
Current assets (trade receivables)		10,000

Own-figure note: The €5,000 already collected between the year end and 22 January (€15,000 – €10,000) confirms partial recovery; only the irrecoverable €10,000 balance is written off. Candidates who write off the full €15,000 with clear, consistent reasoning receive own-figure credit.

Full Model Answer (continued)**(E) Sale of regional office building – €100,000 carrying value, sold for €80,000 on 15 January 2026**

The building was carried under the IAS 16 revaluation model, so its carrying amount of €100,000 at 31 December 2025 already reflected fair value at that date. The sale for €80,000 two weeks later reflects a change in market conditions *after* the reporting date, not a condition that existed at 31 December 2025. This is therefore a **non-adjusting event** under IAS 10. No adjustment is made to the 2025 figures; the sale and resulting loss are disclosed by way of note as a material non-adjusting subsequent event.

(F) Investment property fair value gain – €40,000

The adjacent premises, rented out as office space, is an investment property under IAS 40 and is correctly accounted for using the fair value model (not the IAS 16 revaluation model, since it is not owner-occupied). Under the fair value model, the asset is remeasured to fair value at each year end with the **full gain or loss recognised in profit or loss** (not other comprehensive income, unlike an IAS 16 revaluation gain). The asset was included at €80,000 (its fair value on initial recognition, 1 January 2025) and had not yet been revalued to its 31 December 2025 fair value of €120,000.

Journal – investment property fair value gain

Account	Dr (€)	Cr (€)
Non-current assets (investment property)	40,000	
Retained earnings (fair value gain, P&L)		40,000

(G) Legal proceedings – provision of €167,000

The underlying event (sale of a product containing an ingredient without regulatory approval) occurred before the year end, giving rise to a present obligation as a result of a past event. Legal advice indicates it is highly likely (probable) that a payment will be required, and the amount can be reliably estimated. All three recognition criteria under IAS 37 *Provisions, Contingent Liabilities and Contingent Assets* are met, so a provision is recognised. As three distinct possible outcomes and probabilities are given, the best estimate is calculated using the **expected value** method:

Working – expected value of legal provision

Probability	Payment (€)	Expected value (€)
0.20	55,000	11,000
0.75	200,000	150,000
0.05	120,000	6,000
Total		167,000

Journal – recognise legal provision

Account	Dr (€)	Cr (€)
Retained earnings (legal expense)	167,000	
Non-current liabilities (provision)		167,000

Judgement note: Since the probabilities given sum to exactly 1.00 and represent the full population of possible outcomes, the expected value method is applied. Candidates who instead select the single most likely outcome (€200,000, at 0.75 probability) as their best estimate, with clear reasoning, receive own-figure credit provided the treatment is applied consistently in part (ii).

Full Model Answer (continued)**(H) Provision for future repairs – €30,000 reversed**

Under IAS 37, a provision can only be recognised where there is a **present obligation** arising from a past obligating event. An intention to carry out repairs in the future, with no obligation to a third party, does not meet this test — the entity could avoid the future expenditure by, for example, selling the asset. This is a self-constructed provision that IAS 37 explicitly prohibits (no obligating event has occurred). The incorrectly recognised provision of €30,000 must be **reversed in full**.

Journal – reverse repairs provision

Account	Dr (€)	Cr (€)
Current liabilities (provision)		30,000
Retained earnings		30,000

(I) Takeover bid of €300,000

A bid made for another company is a statement of intent, not a completed transaction, and creates no asset, liability, or obligation for V&S Plc at this stage. **No journal entry is required.** This may be disclosed as a subsequent event/commitment in the notes if considered material to users, but no adjustment is made to the recognised figures.

(J) Employment grant – €250,000

Under IAS 20 *Accounting for Government Grants*, a grant that compensates the entity for expenses already incurred (such as an employment grant, where the qualifying employment costs typically precede or coincide with the receipt), with all conditions attached to the grant already satisfied, is recognised as income immediately under the income approach, matched to the period in which the related costs are recognised — it should not be deferred as a liability. The company's own draft entry (debiting Bank and crediting Deferred Income for €350,000) is incorrect in two respects: the amount recorded (€350,000) does not match the €250,000 actually received, and a deferred income liability is not the appropriate treatment once all conditions have been met.

Journal – correct recognition of grant income

Account	Dr (€)	Cr (€)
Current assets (bank)		250,000
Retained earnings (grant income, P&L)		250,000

Judgement note: The draft entry recorded by the company is not carried forward. Candidates who instead correct the company's draft entry from its recorded €350,000 deferred-income starting point (i.e. debit Deferred Income €350,000; credit Bank €100,000; credit Retained Earnings €250,000) arrive at an identical net effect on each figure in the redraft and receive full credit.

(K) Flood damage to inventory – occurred 12 January 2026

The flood occurred after the reporting date and there is no indication the inventory was already impaired or damaged at 31 December 2025. This is a **non-adjusting event** under IAS 10: the condition (flood damage) did not exist at the year end. No adjustment is made to the value of inventory in the 2025 financial statements. The event, including the €70,000 insurance recovery received on 19 February 2026, is disclosed by way of note as a material non-adjusting subsequent event.

(L) Proposed dividend – 5 cent per share on 800,000 shares

Under IAS 10, dividends proposed or declared after the reporting period, but before the financial statements are authorised for issue, are **not recognised as a liability** at the reporting date, because no present obligation exists at year end — the obligation only arises once the dividend is approved by shareholders. This is explicitly identified in IAS 10 as a non-adjusting event. No journal entry is made; the proposed dividend of €40,000 (800,000 shares × 5 cent) is disclosed by way of note only.

Mark Allocation

Marks	Criteria
42-48	All twelve items correctly identified and explained with the correct IAS/IFRS reference, all required journal entries correct in account name, direction and amount, own-figure applied consistently.
33-41	Most items correctly treated with generally correct journals; minor errors in one or two items or in a small number of amounts, standard reasoning otherwise sound.
21-32	Core distinction between adjusting and non-adjusting events understood and applied to most items; several computational or classification errors, or a small number of items omitted.
10-20	Some relevant accounting knowledge shown (e.g. correct identification of at least 4-5 items) but limited application to the specific facts of the scenario; multiple errors in journals.
0-9	Minimal or no correct treatment of the items; generic or irrelevant commentary only.

Question 1(ii)**12 marks**

Redraft the summarised financial statements of V&S Plc, taking account of each of the above items, in tabular format.

Full Model Answer**Redrafted Statement of Financial Position as at 31 December 2025**

Line item	Draft (€)	Adjustments (€)	Redrafted (€)
Non-current assets	250,750	25,000	275,750
Current assets	29,750	321,000	350,750
Total assets	280,500	346,000	626,500
Called-up share capital	102,000	0	102,000
Share premium	10,625	0	10,625
Retained earnings	57,375	209,000	266,375
Total equity	170,000	209,000	379,000
Non-current liabilities	80,750	167,000	247,750
Current liabilities	29,750	(30,000)	(250)
Total liabilities	110,500	137,000	247,500
Total equity and liabilities	280,500	346,000	626,500

Reconciliation note: The Statement of Financial Position balances: Total Assets of €626,500 equals Total Equity and Liabilities of €626,500. The redrafted Current Liabilities figure of (€250) arises because the draft Current Liabilities of €29,750 was less than the €30,000 repairs provision it was stated to contain, an inconsistency in the underlying data. This is not an error in the accounting treatment applied — the full €30,000 reversal in item (H) is correct. Candidates who present the residual as €0 (treating the €250 as a rounding artefact) with a supporting note receive full own-figure credit, provided the SOFP still balances.

Mark Allocation

Marks	Criteria
10-12	All figures correctly carried from part (i) into the redraft; SOFP balances; clear tabular presentation showing draft, adjustment, and redrafted columns.
7-9	Most figures correctly redrafted with only minor errors; SOFP balances or is within a small own-figure difference.
4-6	Some adjustments correctly incorporated; SOFP does not balance due to omitted or duplicated items, but method is sound.
0-3	Limited or no attempt to incorporate adjustments into a redrafted SOFP.

QUESTION 1 TOTAL — 60 MARKS

QUESTION 2**Pharmacia Ltd**

Total: 40 marks

Pharmacia Ltd purchased two properties on 1 January 2024: Property 1, a freehold headquarters occupied by administration staff (accounted for under the IAS 16 revaluation model), and Property 2, an office block rented out commercially to a medical practice (accounted for as an investment property under the IAS 40 fair value model). Both properties have a 40-year useful life with no depreciation charged to date. Candidates are required to (i) journalise the years ended 31 December 2024 and 2025, (ii) address the change in use of Property 2 at the end of the lease term on 31 December 2026, and (iii) explain the classification distinction between IAS 16 and IAS 40.

Part	Requirement	Marks
(i)	Journal entries for years ended 31 December 2024 and 2025	26
(ii)	Treatment and journal entry (if any) for the 2026 change in use	8
(iii)	Two reasons for classifying an asset as Investment Property under IAS 40 rather than PPE under IAS 16	6

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Question 2(i)**26 marks**

Property 1 (freehold headquarters, IAS 16 revaluation model) and Property 2 (rented office block, IAS 40 fair value model), both purchased 1 January 2024, 40-year useful life, no depreciation charged to date, accumulated depreciation eliminated on revaluation. Fair values: Property 1 – €935,000 (31/12/24), €715,000 (31/12/25); Property 2 – €835,000 (31/12/24), €735,000 (31/12/25). (i) Show the journal entries to record the above properties for the years ended 31 December 2024 and 31 December 2025.

Full Model Answer**Property 1 – owner-occupied, IAS 16 revaluation model****Working – Property 1, year ended 31 December 2024**

Item	€
Cost, 1 January 2024	825,000
Depreciation for 2024 ($€825,000 \div 40$ years)	(20,625)
Carrying value before revaluation, 31 Dec 2024	804,375
Fair value, 31 December 2024	935,000
Revaluation surplus (to OCI/revaluation reserve)	130,625

Journals – Property 1, 2024

Account	Dr (€)	Cr (€)
Depreciation expense (P&L)	20,625	
Accumulated depreciation		20,625
Accumulated depreciation (eliminate on revaluation)	20,625	
Property, plant & equipment (cost)		20,625
Property, plant & equipment (uplift to FV)	130,625	
Revaluation reserve (OCI)		130,625

Working – Property 1, year ended 31 December 2025

Item	€
Carrying value, 1 Jan 2025 (post 2024 revaluation)	935,000
Depreciation for 2025 ($€935,000 \div 39$ years remaining)	(23,974)
Carrying value before revaluation, 31 Dec 2025	911,026
Fair value, 31 December 2025	715,000
Downward revaluation	(196,026)
– of which: reversed against revaluation reserve (limited to reserve balance of €130,625)	(130,625)
– of which: charged to profit or loss (impairment expense)	(65,401)

Journals – Property 1, 2025

Account	Dr (€)	Cr (€)
Depreciation expense (P&L)	23,974	
Accumulated depreciation		23,974
Accumulated depreciation (eliminate on revaluation)	23,974	
Property, plant & equipment (cost)		23,974
Revaluation reserve (OCI) – reverse prior surplus	130,625	
Retained earnings (P&L expense) – excess deficit	65,401	
Property, plant & equipment (write down to FV)		196,026

Judgement note: Remaining useful life is treated as 39 years at 31 December 2025 (40-year total life less the year already elapsed), per IAS 16's requirement to review useful life estimates at each revaluation. Candidates who instead continue depreciating over the original 40-year divisor ($€935,000 \div 40 = €23,375$) receive full own-figure credit provided the resulting revaluation movement is calculated consistently.

Full Model Answer (continued)

Property 2 - rented out commercially, IAS 40 investment property, fair value model

Under the IAS 40 fair value model, investment properties are **not depreciated**. The property is remeasured to fair value at each year end and the full movement is recognised in profit or loss.

Working - Property 2, fair value movements

Item	€
Cost, 1 January 2024	770,000
Fair value, 31 December 2024	835,000
Fair value gain, 2024 (to P&L)	65,000
Fair value, 31 December 2025	735,000
Fair value loss, 2025 (to P&L)	(100,000)

Journals - Property 2, 2024 and 2025

Account	Dr (€)	Cr (€)
2024: Investment property	65,000	
2024: Retained earnings (fair value gain, P&L)		65,000
2025: Retained earnings (fair value loss, P&L)	100,000	
2025: Investment property		100,000

Key distinction: Property 1's revaluation movements are recognised in OCI (to the extent of a surplus) because it is owner-occupied PPE under IAS 16. Property 2's fair value movements are recognised in full through profit or loss because it is an investment property under IAS 40 — there is no OCI/reserve mechanism under the IAS 40 fair value model.

Mark Allocation

Marks	Criteria
22-26	Both properties correctly treated for both years, including correct depreciation, correct revaluation reserve treatment for Property 1 (surplus to OCI, deficit against reserve then P&L), and correct full P&L treatment for Property 2; all journal entries correct.
16-21	Substantially correct treatment of both properties with minor computational errors, or one property fully correct and the other largely correct.
9-15	Correct identification of the two different accounting models (IAS 16 vs IAS 40) with partial or own-figure application; several errors in the depreciation or fair value workings.
0-8	Limited understanding of the distinction between the two properties' accounting treatment; minimal correct workings.

Question 2(ii)**8 marks**

When the lease term ends for Property 2 on 31 December 2026, management decides to use it as its new sales headquarters rather than lease it again. Renovation work began on 15 January 2027; there is no change in fair value between 31 December 2026 and 15 January 2027. (ii) Explain how this transaction would be treated in the financial statements and whether or not a journal entry is needed for 2026. Show the journal entry if it is needed.

Full Model Answer**Change in use – transfer from investment property to owner-occupied PPE**

Management's decision to occupy Property 2 as its own sales headquarters, evidenced by the commencement of renovation shortly after the lease ends, represents a change in use supported by evidence: the property ceases to be held to earn rentals and becomes owner-occupied. Under IAS 40 paragraph 60, this triggers a transfer out of investment property and into property, plant & equipment, accounted for under IAS 16 from the date of change in use (31 December 2026).

Fair value gain up to the date of transfer

Before transferring, the property is remeasured to fair value under IAS 40 one final time. Fair value increased from €735,000 (31 December 2025) to €810,000 (31 December 2026), a gain of €75,000, recognised in profit or loss in the ordinary way (consistent with the treatment applied throughout Property 2's holding period).

Deemed cost on transfer

Per IAS 40 paragraph 60, the property's fair value at the date of the change in use becomes its deemed cost for subsequent accounting under IAS 16, i.e. €810,000. As there is no change in fair value between 31 December 2026 and 15 January 2027 (renovation start), no further fair value adjustment or gain/loss on transfer arises — the transfer itself is value-neutral because the asset is already carried at fair value immediately before reclassification.

Yes, journal entries are needed for the year ended 31 December 2026:

Journals – Property 2, 31 December 2026

Account	Dr (€)	Cr (€)
Investment property		75,000
Retained earnings (fair value gain, P&L)		75,000
Property, plant & equipment (deemed cost)	810,000	
Investment property		810,000

Note: From 1 January 2027, Property 2 is depreciated over its remaining useful life under IAS 16 and becomes subject to the revaluation model on the same basis as Property 1, since it is now owner-occupied. No entry arises on 15 January 2027 itself as there is no fair value movement between the transfer date and that date.

Mark Allocation

Marks	Criteria
7-8	Correct identification of the transfer trigger, correct fair value gain recognised through P&L up to the transfer date, correct deemed cost treatment with no gain/loss on transfer, both journal entries correct.
5-6	Correct identification that a transfer is required with mostly correct treatment; minor error in the fair value gain or deemed cost journal.
2-4	Some recognition that a change in use has occurred; treatment incomplete or a journal entry omitted.
0-1	No meaningful recognition of the transfer requirement.

Question 2(iii)**6 marks**

Briefly outline TWO reasons why Pharmacia Ltd. would want to categorise an asset as 'Investment Property' under IAS40, rather than a property categorised under IAS16 'Property, Plant and Equipment', assuming it uses the Fair Value Model.

Numbering note: The exam paper labels this requirement '(ii)' a second time on the following page; it is presented here as part (iii) for clarity, consistent with the paper's stated mark total of 40 (26 + 8 + 6).

Full Model Answer**Reason 1 - fair value gains recognised in profit or loss, not OCI**

Under the IAS 40 fair value model, gains on remeasurement are recognised in full through profit or loss in the period they arise. Under the IAS 16 fair value model (revaluation model), a gain is recognised in other comprehensive income and held in a non-distributable revaluation reserve. Classifying an asset as investment property therefore allows fair value gains to flow through reported profit, which may be preferred for presenting stronger reported earnings and for distributable reserve purposes.

Reason 2 - no depreciation charge

Investment property under the IAS 40 fair value model is not depreciated, whereas owner-occupied property under IAS 16 must be depreciated over its useful life (even where the revaluation model is used). Classifying an asset as investment property therefore avoids an annual depreciation charge against profit, which can materially improve reported operating profit for a high-value property.

Mark Allocation

Marks	Criteria
5-6	Two clearly explained, distinct reasons, each correctly grounded in the difference between IAS 40 and IAS 16 treatment.
3-4	Two reasons identified but with limited explanation, or one well-explained reason plus a partial second reason.
1-2	One relevant reason identified with minimal explanation.
0	No relevant reason given.

QUESTION 2 TOTAL — 40 MARKS

QUESTION 3**SportsDepot Ltd**

Total: 40 marks

SportsDepot Ltd develops, rents and sells sporting equipment, clothing and accessories across Ireland. Part A tests IAS 36 impairment of a cash generating unit (goodwill, residential rental properties, machinery and inventory) for the year ended 31 December 2022, and reversal of that impairment for the year ended 31 December 2023. Part B tests IAS 23 borrowing costs on a qualifying asset under construction, including a suspension period and non-qualifying periods either side of construction.

Part	Requirement	Marks
A	Impairment allocation (2022) and reversal (2023) under IAS 36	24
B	Borrowing costs treatment and journal entries under IAS 23	16

Question 3, Part A**24 marks**

SportsDepot Ltd's CGU at 31 December 2022: Acquired Goodwill €444,000; Residential Properties for Rental (IAS16 PPE) €1,147,000; Machinery €730,750; Inventory of houses for sale €268,250; Carrying value €2,590,000; Recoverable amount €2,035,000. (a) Allocate the impairment loss arising in accordance with IAS36 for the year ended 31 December 2022 (inventory not impaired). (b) Assume the recoverable amount increased to €2,220,000 for year end 31 December 2023 – how would the reversal be allocated in accordance with IAS36?

Full Model Answer - (a) Impairment allocation, year ended 31 December 2022

Inventory is scoped out of IAS 36 (it is tested under IAS 2 at the lower of cost and NRV) and is confirmed not impaired, so it is excluded from the allocation. IAS 36 requires the impairment loss to be allocated first to goodwill in full, then pro-rata across the remaining assets in the CGU based on their carrying amounts.

Working - total impairment loss

Item	€
Goodwill	444,000
Residential properties for rental (IAS 16)	1,147,000
Machinery	730,750
Inventory of houses for sale	268,250
Carrying value of CGU	2,590,000
Recoverable amount of CGU	(2,035,000)
Impairment loss	555,000

Working - allocation of impairment loss

Asset	Carrying value (€)	Allocation (€)	Revised carrying value (€)
Goodwill (written off in full first)	444,000	444,000	0
Residential properties ($1,147,000 / 1,877,750 \times 111,000$)	1,147,000	67,803	1,079,197
Machinery ($730,750 / 1,877,750 \times 111,000$)	730,750	43,197	687,553
Total	2,321,750	555,000	1,766,750

Working note: After goodwill is fully written off, €111,000 of the €555,000 loss remains ($€555,000 - €444,000$). This is allocated pro-rata to Residential Properties and Machinery based on their relative carrying amounts ($€1,147,000 : €730,750$, total $€1,877,750$). Figures are rounded to the nearest euro; candidates' own-figure roundings are accepted provided the allocation basis is correct and the two allocations sum to €111,000.

Full Model Answer - (b) Reversal of impairment loss, year ended 31 December 2023

Under IAS 36, an impairment loss on **goodwill is never reversed**, regardless of any subsequent increase in recoverable amount. A reversal is allocated pro-rata to the other assets in the CGU, but is capped so that no asset's carrying amount is increased above the carrying amount (net of depreciation) it would have had if no impairment had ever been recognised.

Working - reversal ceiling test

Asset	NBV had no 2022 impairment occurred (€)	NBV post-impairment, less 2023 depreciation (€)	Maximum reversal (€)
Residential properties	1,137,750	1,087,750	50,000
Machinery	703,000	663,000	40,000
Total maximum reversal			90,000

The increase in the CGU's recoverable amount to €2,220,000 is more than sufficient to support a full reversal to the depreciated-historical-cost ceiling for both assets (the ceiling-capped reversal of €90,000 is comfortably within the increase in recoverable amount). The reversal is therefore recognised in full up to each asset's individual ceiling:

Journal - reversal of impairment loss, 2023

Account	Dr (€)	Cr (€)
Residential properties (IAS 16 PPE)	50,000	
Machinery	40,000	
Retained earnings / profit or loss (reversal of impairment)		90,000

Judgement note: Goodwill remains at €0 — no reversal is ever permitted for goodwill impairment under IAS 36. Because both assets are capped at their own individual depreciated-historical-cost ceiling before the recoverable amount is exhausted, no further pro-rata allocation calculation is required beyond reaching each asset's ceiling.

Mark Allocation

Marks	Criteria
20-24	Goodwill correctly written off first in (a); pro-rata allocation to the remaining two assets correctly calculated; reversal in (b) correctly recognises goodwill is never reversed and correctly applies the depreciated-historical-cost ceiling to both assets.
14-19	Substantially correct allocation and reversal with minor computational errors, or one of (a)/(b) fully correct and the other largely correct.
7-13	Correct understanding that goodwill is impaired first and never reversed; pro-rata mechanics or ceiling application contains errors.
0-6	Limited understanding of the IAS 36 allocation or reversal hierarchy; minimal correct workings.

Question 3, Part B**16 marks**

On 1 January 2024, SportsDepot Ltd. obtained a 3-year loan of €1,110,000 (interest rate 6.5%) to fund construction of a new store. Construction commenced 1 February 2024 and ceased for the full month of March 2024 due to weather, despite the first payment to the contractor being made 1 March 2024. Loan funds were drawn down 1 January 2024 and invested in a deposit account earning 1% p.a. Construction was completed 30 November 2024; the store opens March 2025. (i) Assuming the new store is a qualifying asset under IAS 23, explain how SportsDepot Ltd should account for the loan and deposit interest for the year ended 31 December 2024. (ii) Prepare the appropriate journal entries for inclusion of the finance costs in the financial statements for the year ended 31 December 2024.

Full Model Answer – (i) Explanation**Qualifying asset and the capitalisation period**

The new store is a qualifying asset under IAS 23 as it necessarily takes a substantial period of time to get ready for its intended use. Capitalisation of borrowing costs begins when expenditure on the asset is being incurred, borrowing costs are being incurred, and activities necessary to prepare the asset for use are in progress — all three conditions are first met on 1 February 2024, when construction commences (not 1 January, when the loan is drawn down but no construction activity has yet started).

Suspension during March 2024

IAS 23 requires capitalisation to be **suspended** during extended periods in which active development is interrupted. Construction ceased for the whole of March 2024 due to weather; despite a payment being made to the contractor that month, no construction activity took place. Capitalisation is therefore suspended for March and resumes in April when construction restarts, continuing to 30 November 2024 when the store is substantially complete and ready for its intended use (capitalisation ceases at that point — the fact that the store does not physically open until March 2025 is not relevant, since readiness for use, not actual use, ends the capitalisation period).

Investment income on the temporary investment of borrowed funds

Under IAS 23, where funds are borrowed specifically for a qualifying asset, the borrowing costs eligible for capitalisation are the actual borrowing costs incurred during the capitalisation period **less** any investment income earned on the temporary investment of those funds during that same period. Investment income earned on the deposit account during January (before capitalisation begins), March (suspension), and December (after capitalisation ends) is not netted against capitalised cost; it is simply recognised as investment income in profit or loss for those periods, in the same way that the corresponding loan interest for those periods is simply expensed.

Working – capitalisation period

Month	Loan interest (€)	Deposit income (€)	Treatment
January 2024	6,012.50	925.00	Expensed / recognised as income – construction not started
February 2024	6,012.50	925.00	Capitalised (net)
March 2024	6,012.50	925.00	Expensed / recognised as income – capitalisation suspended
April–November 2024 (8 months)	48,100.00	7,400.00	Capitalised (net)
December 2024	6,012.50	925.00	Expensed / recognised as income – construction complete

Full Model Answer - (ii) Journal entries, year ended 31 December 2024**Working - annual totals and capitalisation calculation**

Item	€
Total loan interest for the year ($€1,110,000 \times 6.5\%$)	72,150.00
Total deposit interest for the year ($€1,110,000 \times 1\%$)	11,100.00
Gross loan interest, capitalisation period (9 months: Feb, Apr–Nov)	54,112.50
Deposit income, capitalisation period (9 months)	(8,325.00)
Net borrowing cost capitalised to the asset	45,787.50
Finance costs remaining in profit or loss (3 months: Jan, Mar, Dec)	18,037.50
Investment income remaining in profit or loss (3 months: Jan, Mar, Dec)	2,775.00

Journal entries - year ended 31 December 2024

Account	Dr (€)	Cr (€)
Finance costs (P&L) – total year loan interest	72,150.00	
Bank / loan interest payable		72,150.00
Bank / interest receivable – total year deposit interest	11,100.00	
Investment income (P&L)		11,100.00
Non-current assets (store under construction)	45,787.50	
Investment income (P&L) – remove capitalisation-period income	8,325.00	
Finance costs (P&L) – remove capitalisation-period interest		54,112.50

Reconciliation note: After these entries, Finance costs recognised in profit or loss = $€72,150.00 - €54,112.50 = €18,037.50$ (3 non-qualifying months); Investment income recognised in profit or loss = $€11,100.00 - €8,325.00 = €2,775.00$ (3 non-qualifying months); amount added to the cost of the store = $€45,787.50$. Candidates who present a single combined net journal (Dr Non-current assets $€45,787.50$; Cr Finance costs $€45,787.50$, with the remaining $€26,362.50$ of finance costs and full $€11,100$ of investment income left un-netted in P&L) receive own-figure credit for the correct capitalised amount, but should be advised this does not correctly split investment income between the periods.

Mark Allocation

Marks	Criteria
13–16	Capitalisation period correctly identified as 9 months with the March suspension correctly excluded; correct netting of investment income against capitalised interest; correct split of finance costs and investment income between P&L and the asset; all journal entries correct.
9–12	Capitalisation period substantially correct; minor errors in the netting calculation or journal entries.
5–8	Correct identification that borrowing costs on a qualifying asset should be capitalised, with own-figure application; suspension period or netting requirement not fully applied.
0–4	Limited understanding of IAS 23 capitalisation requirements; minimal correct workings.

QUESTION 3 TOTAL — 40 MARKS